Example student answer – for marking

Weakness	Implication	Recommendation
The Masterfile amendments are made solely by Henry.	There is no segregation of duties and so Henry could update the costs of items to commit fraud. There is therefore a risk of fraud and also error.	The LFE's should be given edit access and have the responsibility of making amendments, with Henry reviewing and authorising the amendments made.
Warehouse staff manually key in quantities printed on the sealed containers when they are received	The warehouse staff may make mistakes due to human error and so misstate stock levels. They also do not check that all the items are in the containers and there may be some missing.	When one LFE enters the quantity, this should be checked by another LFE in case they have keyed it in wrong.
High value inventory items are held in a password protected room and the password is the year the company was founded.	The password could easily be guessed, and so there is a risk that unauthorised individuals could enter the room and steal the high value items.	The password should be changed to a complex code and changed regularly. An access log should be kept of anyone who goes into the room.
A written note is left by the production team of the items and quantities removed from the warehouse.	The manual note may get lost meaning that there is no record of the removal, and an incorrect inventory figure is recorded.	The removed item should be agreed to the written note and recorded in TrackIt before it leaves the warehouse
Henry initiates perpetual inventory counts on an ad-hoc basis when the warehouse is quiet and it seems like it has been a while since the last count	There may be issues or errors which are not picked up on due to the irregularity of the counts. If inventory has been lost, damaged or stolen and management is not aware then inventory in the management accounts would be overstated.	Stock counts should occur more regularly to ensure that all stock is counted during the year.
Henry has responsibility for lots of final sign offs, including marking orders ready for dispatch and monitoring exception reports	There are lots of opportunities for Henry to misappropriate assets and steal from the company	Mira should take on some of Henry's responsibilities